



Officers of Spain's Guardia Civil stand by debris from a bomb explosion in Barcelona during the disturbances preceding the seizure of power by de Rivera.

IN 1922, THE GERMAN

GOVERNMENT had declared itself unable to pay war reparations, which were due to the victorious Allies in gold Marks. The French, led by fiercely anti-German prime minister Raymond Poincaré (1860–1934), were determined to take action. In January 1923, **French and Belgian troops occupied the Ruhr**, Germany's industrial heartland. The German government responded by encouraging passive resistance—strikes stopped production in mines and factories.

The occupation triggered **hyperinflation**, and a collapse in the value of the German Mark. Inflation was already out of control before the Franco-Belgian

occupation, but the German government's decision to print banknotes to pay striking Ruhr workers was fatal. By the summer, the Mark was almost worthless. The exchange rate against the US dollar rose hourly, and eventually reached 5.72 trillion Marks to the dollar. By the time inflation peaked, savings of 68,000 Marks would buy no more than a postage stamp. In contrast, those who owed money had their debts eradicated. In August, **Gustav Stresemann** (1878–1929), a respected German politician, formed a **coalition government**, and the following month called off passive resistance in the Ruhr. In November, the Mark was replaced by the **Rentenmark**, knocking 12 zeros off the old currency and restoring public confidence.

The chaotic state of Germany tempted a minor political extremist, **Adolf Hitler** (see panel, right), to make a bid for power in the **Munich Putsch**

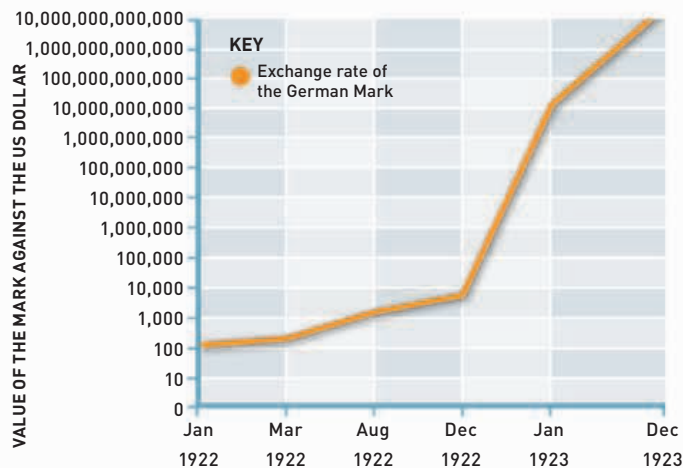


Worthless paper money

The collapse of the German currency resulted in the printing of 500 million Mark notes. Smaller notes were so worthless they were used to light stoves.

“ WE HAVE REASON ON OUR SIDE AND, THEREFORE, FORCE, THOUGH SO FAR WE HAVE USED FORCE WITH MODERATION. ”

Miguel Primo de Rivera, Spanish dictator, September 1923



German hyperinflation

The value of the Mark against the US dollar reflects the acceleration of German inflation. Ten years earlier a dollar had been worth 2.3 Marks.

on November 8–9. Hitler had made himself leader of the Nationalist Socialist Party (Nazis). He had also won powerful allies, including war hero General Erich Ludendorff (1865–1937). Hitler planned to use the Bavarian capital, Munich, as the base for a “March on Berlin” in imitation of Mussolini’s “March on Rome” (see 1922). But, at the last moment, Bavarian leaders opposed the putsch. Hitler and Ludendorff were confronted by the army and police on the streets of Munich. After a brief gunfight, the attempted revolt disintegrated. Hitler was arrested two days later and charged with high treason (see 1924).

While Hitler’s attempted coup failed, in **Spain General Primo de Rivera** (1870–1930)

succeeded in seizing power. In the aftermath of the Spanish defeat by Abd el-Krim’s Berbers at Annual (see 1921), the Spanish parliament had launched an investigation into the army and Spain’s King Alfonso XIII (1886–1941) to apportion blame. Primo de Rivera dismissed parliament and established a **military dictatorship** under the king. Sadly, his desire to end Spain’s economic problems and bitter political divisions proved far beyond his power or ability.

A more successful military man was Turkey’s Mustafa Kemal (1881–1938), later known as Atatürk. Victorious in the war against Greece (see 1922), **Kemal formally founded the Turkish Republic** in October. He embarked upon a series of radical reforms designed to turn Turkey



ADOLF HITLER
(1889–1945)

Born in Austria, Hitler fought in the German army in World War I. An inspired orator, he won mass support for his National Socialist (Nazi) Party from the late 1920s. From 1933, he established a ruthless dictatorship that resulted in the Holocaust (see 1942). His expansionist policies caused a war in 1939 that finally led to the destruction of his Reich.

into a modern secular state. He banned traditional dress, abolished the Muslim caliphate system of government, and replaced Arabic script with the Roman alphabet.

In **Japan**, one of the worst natural disasters of the century struck on September 1. Known as the **Great Kanto earthquake**, a tremor measuring 7.9 on the Richter scale **devastated Tokyo** and the surrounding area. The quake started fires that were whipped up by high winds into

- January 1–7** White mobs destroy mainly black settlement of Rosewood in Florida
- January 11** French and Belgian troops occupy Ruhr in response to Germany’s failure to pay reparations
- March 3** US Senate rejects proposal for US to adhere to International Court of Justice
- March 31** Thirteen striking German workers shot dead by French troops in Essen
- April 28** FA Cup Final held for first time at new Wembley stadium in London
- May 6** In China, bandits seize train and hold passengers, including Americans, as hostages
- May 24** Anti-Treaty IRA lays down arms, ending Irish Civil War
- June 13** Li Yuanhong, president of Chinese government in Beijing, ousted by warlord Cao Kun
- July 20** Mexican revolutionary general Pancho Villa (b. 1878) assassinated
- July 24** Treaty of Lausanne establishes new borders of Turkey
- August 2** US President Harding (b. 1865) dies in office; succeeded by Calvin Coolidge
- August 13** Gustav Stresemann becomes German Chancellor
- August 13** Newly built Polish seaport at Gdansk opens for trade
- September 1** Earthquake destroys Yokohama and most of Tokyo, killing close to 150,000 people
- September 14** Miguel Primo de Rivera becomes dictator of Spain in military coup
- September 24** Chancellor Stresemann ends German passive resistance to occupation of Ruhr